

and less when markets are expensive. Since the decision making is based on a predetermined formula, there is little contribution from the fund manager except executing the trade. The second category of passively managed funds is index funds (just like Index ETFs). They are simply built to replicate an index like the Nifty or the Sensex and have minimal human input.

In every country, the fund management industry starts with actively managed funds. Then, as that market becomes more competitive, more perfect, it first becomes more difficult and then almost impossible for funds to outperform the broader market. That is when passively managed funds and ETFs (with low expenses) start gaining market share. Let us understand what a perfect market is.

A perfect market: It is all in the price

In a perfect market, all buyers and sellers have exactly the same information. There is no information asymmetry or, in other words, there is nothing that one single market participant knows which others don't. Information is power in an imperfect market, and if you know something about a stock, e.g. the sales numbers in this quarter, before anybody else, you can trade favourably in that stock before that information is known to everyone else. Then, once that piece of information is available to everybody else, the stock will move in the direction that favours you.

The perfect market assumes that all available information is reflected in the stock price. Sure, Company XYZ has lowered its revenue projection over the next few quarters, but everybody knows that. The stock has already been sold to that extent to absorb that information. Sure, Company LMN has hit upon a new patent and has a rosy future. But again, it has been bought enough by the market participants, and the price already reflects that.

No market can be absolutely perfect or imperfect. But the developed markets in the US and Europe are nearly there after over two centuries of evolution. As a result, in these markets, actively managed funds have no edge over index ETFs. According to Morningstar's July 2017 report, only 10 to 20